

Mak Trnka

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POL S 203

Zhaowen Guo

Memo to Joe Biden on Trade

Dear Joe Biden,

With 2020 election approaching, it is more important than ever to take a critical look at the present U.S. trade policies implemented by the Trump administration and assess the impact it will have on the present and future economy. While there is plenty of evidence that the free trade policies and competitive globalization has benefited the U.S and global economy during the previous administrations, presently, there is a palpable uncertainty on the benefits of the present administration's protectionist trade policies. To ensure the U.S stays as one of the largest and most powerful economies in the world, the pros and cons of international free trade must be carefully assessed and we should stick to international free trade, make the changes it needs in order for us to make the economy healthy, not shift to protectionism. Trump has been a vocal critic of international free trade but he doesn't understand the benefits behind it. The benefits international free trade gives us is that it encourages economic growth. When we look at the past when we implemented NAFTA, the U.S. International Trade Commission calculated its full implementation would increase U.S. growth by as much as 0.5% a year. It created 5 million new U.S jobs (Amadeo 2020). In addition, international free trade reduces consumer good prices. When we implement trade restrictions like tariffs or quotas, people tend to see an increase of prices on many products since it reduces global competition. However, when the restrictions are removed, that increases global competition, which makes consumers see lower prices of many goods since removing the restriction makes product importation from countries with lower costs of labor easier. That's why many products we get from China are really cheap because their labor is cheap (Amadeo 2020). Also, free trade strengthens foreign investments. As trade restrictions are removed as well, it makes global cooperation better and easier for foreign investors to invest. It's good since the more we invest, the more domestic businesses will prosper and increase the wages of certain businesses. We sure need money from other countries too in order for improvement. Ever since the passage of NAFTA, foreign direct investments more than tripled resulting in a better standing of living for many (Amadeo 2020). Furthermore, free trade reduces government spending. We've been having a lot of trouble with our country's debt, now reaching \$22 Trillion Dollars taking on nearly 110% of our GDP, resulting from a lot of subsidization the government does on local industries for their loss of income by export quotas. When we lift trade restrictions which removes the subsidies, it allows more competition and lower-cost bids, making the left-over funds be used somewhere else (Amadeo 2020). Lastly, free trade does bring more expertise to the global world. Global companies are known to have better knowledge in developing resources like oil, gas, or manufacturing than domestically owned companies. When free trade deals are made, this can result in making our global companies learn from other global companies from our trade partners how to improve and be taught new

practices. We should let these advantages remain (Amadeo 2020). However, critics like Trump have been right about few a strong obstacles when it comes to international free trade. It has been proven and certain people argue that free trade makes it easier for jobs to be outsourced when restrictions are lifted because it gives companies the opportunity to send jobs overseas where international workers are either more experienced, cheaper to hire, or are willing to work with fewer safety protections in other countries. That has been one of the North American Free Trade Agreement's (NAFTA) biggest criticisms. The Economic Policy Institute in 2011 has calculated that ever since the passage of NAFTA, there was a loss of 682,900 jobs, mainly manufacturing jobs which are known to be the best paying jobs in the U.S. (Amadeo 2020). Also, when jobs are outsourced to developing markets, multi-national companies have less obligations to provide suitable labor protection and needs because of less restrictions than those in the U.S. For example, NAFTA led to a suppression in wages because it made it easier for American companies to shift jobs to Mexico and forced the US workers out of labor unions. Without unions, it makes it more difficult for workers to receive a living wage and easier for the corporations to profit (Amadeo 2020). From all this job outsourcing these free trade policies have done, our country has been having a very high trade deficit overall for years, meaning that we, the U.S., has imported more than exported to our trade partners for years (Amadeo 2020). The reason the U.S. has been importing more than exporting certain goods is because our trade partners produce them at a much better quality and price. They have a comparative advantage in trade in many of these goods, meaning they can produce them at a lower opportunity cost than us (Frieden, Lake, & Schultz 2012). What gives them that comparative advantage is mainly their cheaper labor or lower exchange rate compared to us. The more comparative advantages a country has in producing certain goods, the more they're able to export those products. (Amadeo 2020). When we speak about the U.S trade deficit, it has been the highest with China for years, standing at \$345.6 billion (Amadeo 2020). As the U.S trade deficit with China keeps on increasing, the Trump administration has tried to address this issue by using protectionist policies, such as tariffs, which are taxes put on imports (Frieden, Lake, & Schultz 2012). They implemented numerous tariffs, on many U.S imports coming from China. So far it has only triggered a huge trade war with China which has been more harmful than good to our economy, providing no benefit. First of all, the Tax Foundation has calculated that the tariffs the Trump administration has imposed, it resulted in an \$80 billion Tax increase on Americans who pay for it, not China. It happens to be one of the biggest tax increases in decades (York 2020). Due to the massive increase in tariffs China responded back, the Tax Foundation calculated this would do more harm than good for our economy. It would result in a reduction in long-run GDP by -0.51%, worker's wages by -0.35%, and would kill 394,000 jobs (York 2020). It has been such a huge cost to good paying jobs. Farmers, especially in states like Iowa, elected Trump because they thought he'd do a great job making trade better for the farmers, but instead that was a broken promise. The American Farm Bureau Federation has calculated that since 2018, farm bankruptcies soared by 24% due to China's response back with tariffs on dairy products, soybeans, and such. Trump bailed out \$28 billion for them, but it happens to only add to the deficit rather than help. In addition, manufacturers, especially in states like Michigan, have had a loss in employment due to higher import costs and China's revenge, as the federal reserve has calculated. These policies have led to a first decline in interest rates since 2008. (Sherman 2019).

Before we adopt new policies, we have to understand why we are in a huge trade deficit overall and know what's the right way to deal with it. We certainly want low-cost imports since that makes it easier for our consumers to purchase the goods at a much lower price than if we produced it here at home and it should keep increasing. However, it's true that the more our trade deficit increases, the more we will face these barriers the Trump administration is trying to address (Amadeo 2020). We should still stick to the idea of free trade rather than shift to total protectionist policies the Trump administration has been doing, since they just proved to us with the tariffs they imposed on our goods that go to China, how trade protection can lead to a trade war, raise the price of imports, reduce the efficiency of domestic production, reduce the number of low-cost imports coming to this country, and doesn't strengthen exports (Frieden, Lake, & Schultz 2012). In order to address these barriers the right way and if we want to take advantage of China, reduce our trade deficit with, we should work on a plan on how to increase and boost our exports, trying to make them outweigh our imports, because exporting is a key contributor to bringing higher wages, creating jobs, which all raises the standard of living for majority of the people (Amadeo 2020). Therefore, we need to look into what are certain goods we have comparative advantage in compared to China and our other trade partners. We as a country have a comparative advantage to many of our trade partners when it comes to agricultural products, natural resources, industrial supplies, and even certain capital goods like aircrafts. That's also why we export those products to China, but a lot less than they export their products to us, which are mainly computers, cellphones, and clothes (Amadeo 2020). Therefore, if we don't want to have a trade war with China and make trade stay positive for both sides, we should make a deal with China to make the number of U.S. exports to China equal the same number of U.S. imports from China, so we have an equal trade balance and no deficit. That means we would need to boost the number agricultural products, natural resources, industrial supplies, and capital goods to export to China equal the number of computers, cellphones, and clothes China imports to us. (Amadeo 2020). In addition, if we want to take advantage of China and increase our exports overall to outweigh our imports so we are in a trade surplus, we should make a trade agreement with perhaps five to ten other countries all together, excluding China from the agreement. For that trade agreement, the idea behind it is that, we need to make an agreement with trade partners we have a comparative advantage to in producing other goods like clothes, computers, and telephones, which China does to us, so we can export more things to the world than just agricultural, industrial, and capital goods. In that way, our exports will boom and our imports won't go away or decline. Therefore, the main goal and the side we need to take on free trade, is that we need to support it, strengthen it, keep restrictions like tariffs removed, but in a way that can make us boost our exports to outweigh our imports which we still need. In that way we can have both an economy that works for U.S. consumers by getting the cheap products we need and our U.S. workers, bringing higher wages and good paying jobs here.

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